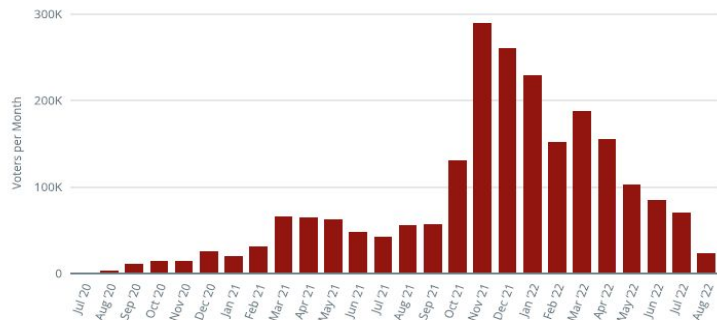


DAOs in Q1 2023: Stabilizing after 2020-2022 wild runs

After 2022 downturn on financial markets, DAOs now need to raise efficiency to overcome harsh market conditions.

	2020 EoY	2021 EoY	2022 EoY
Cum. Treasury Value (all DAO types)	\$380M	\$16'000M 40x YoY	\$12'500M -22% YoY
Active participants (all DAO types)	13'000	1'600'000 130x YoY	1'500'000 -6% YoY

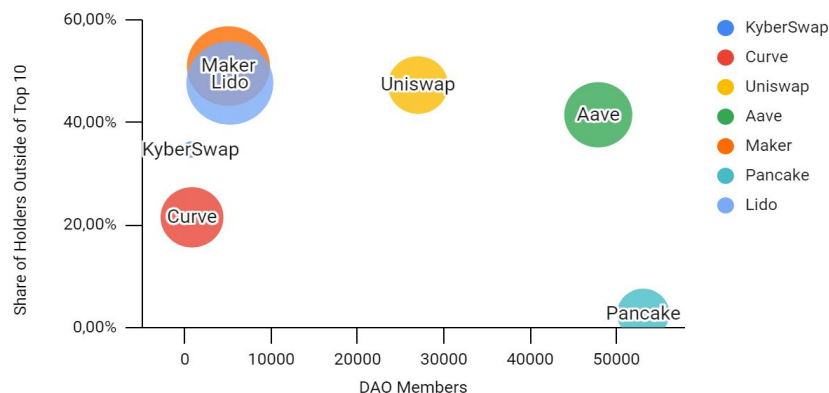
Figure 8: Total Votes per Month Within the DAO Ecosystem



Source: deepdao.io, Cointelegraph Research

DEX DAO Market

Bubble size = TVL. 'Two-pizza' teams controlling DAO voting seem to be current status quo



- DEX DAOs mainly compete for top talent (engineering & operations) and user/member loyalty (marketing).
- Many DEX DAOs seem to serve as formal mechanisms, approving all proposals from top holders. As the market matures, an opportunity opens to engage wider audience into DAOs' key activities.

KyberDAO: strong foundation, lack of engagement

KyberSwap serves well as a point of attraction, yet it's time to reassess its DAO meaning & positioning.

KNC Metrics

Market Cap / TVL Ratio

Current

1.27

Market Median

0.21

Total holders

~14k

~125k

Top 10 holders share

~66%

~56%

Quorum

20%

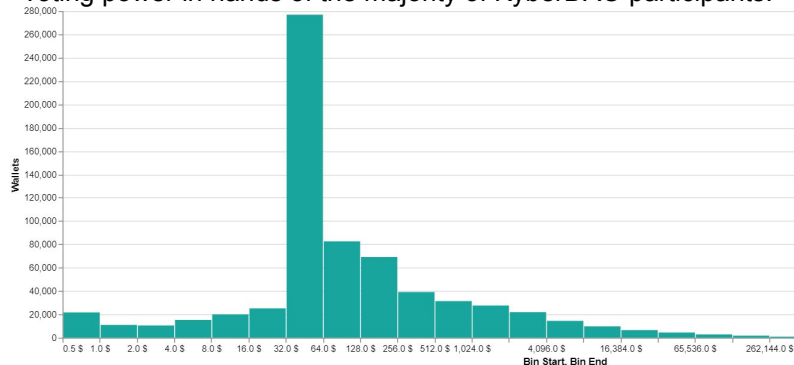
Pass rate (differential)

15%

DAO/LPs rev.share

10/90

Current member holdings distribution demonstrates the lack of voting power in hands of the majority of KyberDAO participants.



Governance challenges

- Concentration of power

comes hand in hand with higher financial risks for top holders.

- Lack of clear DAO positioning / meaning

Members may see voting as being just a formality

- Voter apathy

Insufficient median KNC balances to justify spent time & efforts

- The uncertainty of compensation

DEX fee shrinks as the market & technology mature



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658 users

Username	Received	Given	Topics Created	Replies Posted	Topics Viewed	Posts Read
tezoswakemake Tezoswak...	141	29	4	90	32	253
ShaneKyber Shane	89	44	29	16	98	605

Curve: Innovations-driven, too sophisticated

With superb liquidity, low fees and minimal slippage, Curve.fi captured a solid stake of DeFi market. While its governing DAO reward system may seem overcomplicated, there's a few valuable ideals to adopt.

Description

Started as stablecoin-focused AMM, Curve.fi progressed to offer wider variety of pairs. CRV serves as a governance token and is emitted and paid as a reward to LPs. Trading fees are split 50/50 between LPs and Curve governance participants.

Token model

- 50% of trading fees are paid to veCRV holders (governance participants) in form of 3CRV (an LP token for a stablecoin pool)
- Higher veCRV rewards for longer CRV staking (up to 4Y, current average: ~3.5Y)

	Liq in pool No veCRV	Liq in pool Has veCRV	Liq in pool & gauge No veCRV	Liq in pool & gauge Has veCRV	No liq No veCRV	No liq Has veCRV
Earns lending & trading fees	Yes	Yes	Yes	Yes	No	No
Earns CRV	No	No	Yes	Yes	No	No
Earns more CRV (boost)	No	No	No	Yes	No	No
Can vote on DAO proposals	No	Yes	No	Yes	No	Yes
Can vote on gauge weights	No	Yes	No	Yes	No	Yes
Earns gov fees	No	Yes	No	Yes	No	Yes

Governance & Voting

- Members voting power depends on their CRV staking amount & period (→veCRV)
- DAO manages a \$151M Community Fund and other operational proposals.
- 15-30% quorum with 51% support to confirm.

Key findings

- (+) LP reward boost (up to 2.5x) offered for locking CRV and voting on DAO proposals and rewards split.
- (-) Excessive CRV inflationary rate (15%+) questions Curve's long-term sustainability.
- (+) Solid incentives for longer CRV staking and voting on DAO proposals.
- (±) Prepares launching its proprietary stablecoin, crvUSD

Uniswap: Benefits of scale

Uniswap is a leading DEX by volume and TVL, and its DAO shows signs of dedication towards building a truly decentralized product & governance.

Description

Uniswap changed the crypto game when the platform launched. Now on v3, Uniswap continues to innovate. Yet, its governance token UNI has no connection to the DEX in terms of rev.share. With v3 pool fees ranging from 0.001% to 1%, UNI holders get nothing.

Token model

- All trading fees are paid to LPs (subject to change as upcoming 'fee switch' vote can introduce 10% protocol fee deducted from LPs earnings and accrued on protocol level).
- Inflation rate is somewhat low (2% yearly after 4 years).

Governance & Voting

- Quorum: 4% of UNI total supply, >50% "yes" votes
- 3 phases: RFC → 10M UNI → 40M UNI
- Active voting on operational and investment proposals

Key findings

- LPs benefit from concentrated liquidity mechanism (gives control over what price ranges their capital is allocated to).
- Governance designed in a way that will eventually let the core Uniswap team step out of the decision-making process entirely, achieving a truly self-sustaining and completely decentralized protocol.
- No money-making utility in UNI drags away potential holders (and thus governance participants).

total votes

voters

avg. votes per proposal

202,004

27,304

1,642

KyberDAO: Ways to excel

	Governance	Token utility	Product influence
KyberDAO	Flexible terms for voting participation Weak incentives for long-term staking High concentration of power	Voting rights Rewards for staking & voting	Some product ideas come from the DAO. Low voting activity so far. Core team seems to control quorum.
Curve	Wider responsibility of DAO (Community Fund, et al.) Very high concentration of power	Extra rewards for staking & voting High inflation rate	DAO seems to be more passive, trusts team with key decisions. Core team controls quorum.
Uniswap	Oriented towards becoming fully decentralized over time Lower (still high) concentration of power	Voting rights only (so far) Low inflation rate	DAO members actively discuss both protocol development & operations. Core team's proposals can be denied.
Key Outcome	Voting should not be a formality (Curve), DAO members need to see their impact on product development (Uniswap) and long-term staking incentives (Curve).	DEX DAOs can fill their Treasury balances with swap fees to fuel further protocol development and new growth initiatives. LPs may get extra rewards to compensate these shared fees.	Softer requirements combined with lower power concentration facilitate voluntary activity among members (Uniswap).

Success Metrics: Making all the right moves

It's always better to keep an eye on vital metrics to reassure that we move in a right direction

North Star Metric – a unified metric that aligns all stakeholders towards a common goal.

Potential NSM for KyberDAO

- Total unrealized P/L per KNC holder
- Total number of votes

Reasoning

- Long-term staking combined with Kyber Network efficient development make up for a locked-in profit
- A result of user acquisition and activation (stake to vote) combined

Key metrics to track

Member Acquisition

- KNC holders total
- Total number of voters

Member Engagement

- # of operating contributors
- Median KNC staking period

Token Dynamic

- KNC TVL
- KNC price

And how to grow them

- State unique market positioning + ensure visibility via influencers
- Review voting rewards; Important proposals; New initiatives
- Review operational roles & rewards; Launch time-bound tasks
- Implement vested extra staking rewards
- Implement vested extra staking rewards
- Increasing DAO proposals' efficacy

Wrapping up: Next steps for KyberDAO

Comparing KyberDAO against other DAOs on the market highlights its strengths, as well as some areas for improvement

Best practice review

- Identifying & rewarding active voters/contributors.
- Clearly defining roles and trusted delegates.
- Balancing LPs/DAO fee split to finance initiatives from Treasury.
- Engaging LPs into staking & voting, joining DAO, and vice versa.

Key lessons from Curve:

- Users are ready to lock their assets for longer terms and keep up with complexity in exchange for extra profits/rewards.
- Excessive inflation rates can undermine even great products.
- Protocol can award LPs for re-staking fees they collect.

Key lessons from Uniswap:

- 'Checking water' concept & pilot tests can ignite voting activity
- Sooner or later DAO comes to necessity to collect % of trading fees
- Absence of one's control over voting leads to community-led growth.

Ideas to investigate

Positioning

- DAO as a marketing instrument bringing new users to Kyber ecosystem
- DAO as an investment / R&D arm aimed at adding new major elements to Kyber ecosystem

Member experience

- Gamification – simple fun & other non-financial benefits of voting and being an active member
- Socialization – building tight social groups within a larger community as a barrier to switch

Token utility

- Liquid derivative emission when staking KNC
- Re-investing part of fees into a community fund

Thanks for your attention!

Links & Resources

Market

- <https://deepdao.io/organizations>
- <https://defillama.com>
- “Decentralized Autonomous Organizations Toolkit”, WEF, Jan 2023
- “DAO: The Evolution of Organization”, Cointelegraph Research, 2022

Curve

- <https://resources.curve.fi/base-features>
- https://curve.readthedocs.io/_/downloads/en/latest/pdf/

Uniswap

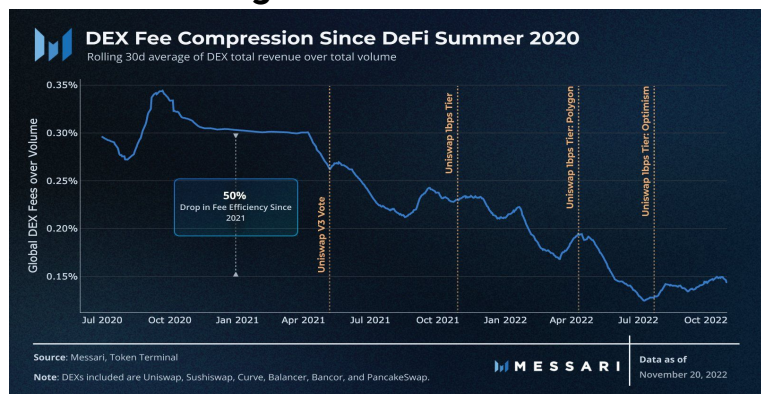
- <https://docs.uniswap.org/>
- <https://uniswap.org/whitepaper-v3.pdf>
- <https://gov.uniswap.org/t/fee-switch-design-space-next-steps/17132>
- <https://gov.uniswap.org/t/fee-switch-pilot-update-vote/19514>
- https://dune.com/web3_data/UNI_GOV

Appendix 1. Market data

Kyber vs other Top DeFi products

as of March 12th, 2023	KyberSwap	Curve	Uniswap	Aave	Maker	Pancake	Lido
TVL	86 860 000	3 810 000 000	3 370 000 000	4 700 000 000	7 780 000 000	2 310 000 000	8 720 000 000
Liquid Treasury		142 200 000	1 800 000 000	116 700 000	65 500 000	24 500	355 400 000
Vested Treasury		-	550 000 000	-	-	-	-
Token holders	14 371	76 634	372 319	156 081	93 434	266 900	32 769
DAO participants	657	813	27300	47900	5029	53100	5200
# of Proposals	21	221	123	255		4300	126
Top-10 holders share	65,30%	78,50%	52,70%	58,50%	49%	97,30%	52,30%
Market Cap / TVL Ratio	1,27	0,18	4,36	0,20	0,11	0,30	0,23

DeFi Fee Change 2020-2022



DeFi Business Models Overview

